

**JUSTIFICATION AND APPROVAL
FOR OTHER THAN FULL AND OPEN COMPETITION
SPRDL1-24-R-0137**

1. Contracting Agency: The Contracting Activity for this action is the Defense Logistics Agency - DLA Land Warren (DLA-WRN).

2. Description of Action: DLA proposes to award a New Firm-Fixed-Price contract to JLG Industries, Inc., Commercial and Government Entity (CAGE) 1YHH8, or an offeror providing the approved source for National Stock Number (NSN) 2815-01-577-1838, Diesel Engine, Purchase Request Order Number EH4L0286EH, using Army Working Capital Funds.

3. Description of Supplies/Services: The NSN 2815-01-577-1838, part number 2000328, Diesel Engine, is used on the All-Terrain Lifter Army System (ATLAS) II Forklift. The deliverables for this proposed Five-Year Indefinite-Delivery Indefinite-Quantity (IDIQ) long term contract (LTC) are for a guaranteed minimum quantity of six each, with an estimated five-year maximum quantity of 156 each. The total estimated maximum value of this contract is \$ [REDACTED].

The Engine is used on the 10K ATLAS Forklift. The ATLAS II is a self-deployable 10,000 pound and 16 foot 11 inches in length, Capacity Variable Reach, Rough Terrain Forklift. It is designed for loading and unloading munitions and other palletized items not limited to breakbulk cargo plus 463L United States Air Force pallets from transport vehicles and containers in the field. ATLAS II is also used as a standard terrain forklift.

Acquisition Method Code (AMC):

3 - Acquire, for the second or subsequent time, directly from the actual manufacturer.

Acquisition Method Suffix Code (AMSC):

Q - The Government does not have adequate data, lacks rights to data, or both, needed to purchase this part from additional sources. If one source is available, AMCs 3, 4, or 5 are valid. If at least two sources are available, AMCs 1 or 2 are valid.

4. Authority Cited: The statutory authority permitting other than full and open competition for this effort is 10 United States Code (U.S.C.) 3204(a)(1) as implemented by the Federal Acquisition Regulation (FAR) 6.302-1, Only One Responsible Source and No Other Supplies or Services Will Satisfy Agency Requirements.

5. Reason for Authority Cited: The part included in this procurement action is the diesel engine used in the ATLAS II forklift. The engine provides power to propel the forklift through the powertrain and actuate the hydraulic system controlling the load handling means.

The Government does not have the pertinent technical data to enable competitive re-procurement.

The Government does not own the technical data package (TDP) for the diesel engine. The ATLAS II forklift was procured using a performance purchase description that outlined the performance requirements of the end-item. This is the preferred acquisition strategy for Army material handling equipment because limited production dollars are used to procure hardware rather than a complete TDP.

The utilization of other than full and open competition is justified due to the unique qualifications of the source of supply. JLG has the requisite knowledge and specialized technical expertise required for successful performance, making them uniquely qualified to meet the Government's specific requirement for this procurement. JLG is the original equipment manufacturer of the ATLAS II. The Diesel Engine in this procurement is the only item qualified and approved for the ATLAS II. JLG has delivered this item to the Army without known issues or concerns for many years. This performance is based on an understanding of the requirements of the item for supporting the ATLAS II performance, including power and mobility characteristics. The contractor passed the unique testing of the Production Qualification and Verification tests for the ATLAS II, including the demonstration of supplying diesel engines that fully met the ATLAS II performance requirements. The tests included reliability demonstrations, operating in cold and other environmental conditions, and performance suitability in an operational scenario. These tests were important and critical in that they demonstrated to the Army that the ATLAS II and therefore the diesel engines were ready for fielding and incorporation into the Army's supply distribution mission. The contractor has other capabilities in that they have full knowledge and understanding of the critical relationships between the diesel engines and the end item. The ATLAS II diesel engines have interfaces with the machine structure providing the needed safety factors that ensure mission effectiveness and protect the safety of the soldier. This knowledge assures the Government that replacement diesel engines will be easily incorporated into the machine reducing time for other adjustments and troubleshooting. Using a contractor without the unique qualification listed here introduces risks to the Government. A diesel engine not ready to perform would prevent the end item from returning to full mission capable status. This would seriously impact the Army's capability to move pallets and other loads as part of its supply distribution mission.

[REDACTED]

The quantity requirements for the diesel engines are too small to justify the cost required to increase competition. This requirement is for replacement (spares) diesel engines, so developing a competitive effort, procuring proprietary technical data, or reverse engineering are not cost-effective options. The diesel engines covered by this procurement are designed and developed by the part manufacturer. Procuring proprietary data is estimated to be in the many millions of dollars as the typical business

case for a product like this includes the expectation of a revenue stream for the manufacturer that includes worldwide sales of complete diesel engines and spare parts for many years. Qualifying additional sources is viewed as more of a schedule delay issue for this type of product and will be addressed below. The cost of procuring proprietary information is not expected to be recovered through subsequent competition because Tank-automotive and Armaments Command Life Cycle Management Command demands for these diesel engines are in small quantities and are driven by field demands. This estimate is based on a general knowledge of the materials handling industry. There are funding constraints in that scarce resources are better directed to hardware procurement rather than procuring technical data for commercial products.

██████████ would be associated with attempting to procure the required proprietary data or qualifying additional sources. ██████████

██████████ The end item is a vital part of the Army's supply distribution mission. These diesel engines are not feasible candidates for reverse engineering currently. It is an assembly designed by an established commercial vendor. It is estimated as a high-risk proposition since the diesel engines are already in the market and the reverse engineering process would be replicating the effort associated with the original design of the diesel engines. The reverse engineering effort would take approximately ██████████ months or more at a cost of \$2 million. In addition, the reverse engineered diesel engines would have to establish reliability comparable to the already existing design. This evaluation process would need another ██████████ and an estimated additional \$750,000. These costs would not be recovered by subsequent competition as the Army's demand for these diesel engines is small and variable. The risk for the Government is high as there are limited resources to commit to this type of effort. For a contractor, there is high risk in that a long-detailed effort is required without the assurance that there would be enough demand for the final product.

The Government would not be able to recover, through subsequent competition, the duplication of costs involved in reverse engineering the item to create a competitive TDP or qualify additional source(s) within a reasonable time frame. At the current average usage rate of ██████████ units each year, a current unit cost of \$ ██████████, and assuming 25% savings achieved through competition, the \$ ██████████ in annual savings would take over ██████████ years to offset the estimated \$2.75M cost of reverse engineering the item and validating a competitive TDP or qualifying another source.

6. Efforts to Obtain Competition:

- a. Effective competition: Due to the reasons cited in Section 5 above, the Government is not pursuing competition for this item. Notices required by FAR 5.201 will be posted.
- b. Subcontracting competition: Unless the contract is awarded to a small business, the solicitation and resulting contract will include FAR clauses 52.219-8,

"Utilization of Small Business Concerns"; 52.244-5, "Competition in Subcontracting"; 52.219-16, "Liquidated Damages--Subcontracting Plan"; and Defense Federal Acquisition Regulation Supplement (DFARS) 252.219-7003, "Small Business Subcontracting Plan (DoD Contracts)," to maximize small business opportunities and utilization.

7. Actions to Increase Competition: There are no known funding efforts in progress at this time to develop the competitive technical data required to make the Diesel Engine fully competitive. No contractors are in the process of being qualified at this time, nor will be prior to the contract award due to funding constraints.

8. Market Research: A Sources Sought Notice was posted to SAM.gov on 9 June 2024 and was open for 17 days. One response was received, with the assessment of the response below:

MTP Drivetrain Services requested information on 28 June 2024 on how to submit an offer for this requirement. The contract specialist informed MTP Drivetrain Services that they could contact the Competition Management Office to apply to become an additional source through the Source Approval Program (SAP). The contract specialist provided the point of contact for the SAP to the vendor.

The DEVCOM Ground Vehicle System Center Construction Equipment-Material Handling Equipment (GVSC CE-MHE) project engineer performed internet searches on 6 June 2024 searching for diesel engines that could meet the ATLAS II specifications.

1. Keyword used: "Part Number 2000328"

Website location: <https://www.wbparts.com/rfq/2815-01-577-1838.html>

Findings: The keyword used for this search was the part number featured in this procurement. The result was the actual engine that is approved for the ATLAS II application.

2. Keyword used: "Diesel engine for Rough Terrain"

Website location: <https://www.nationwideheavytruckparts.com/truck-engines-for-sale/?make=cummins>

Findings: This market search resulted in selection of used diesel engines for sale. There was a variety of makes and models. These engines are not a candidate for the ATLAS II because they are larger size and not specified for the ATLAS II application.

3. Keyword used: "Rough Terrain forklift diesel engine"

Website location: <https://www.machinerytrader.com/listings/for-sale/caterpillar/rough->

[terrain-forklifts/13052](#)

Findings: This search resulted in a listing of used Caterpillar rough terrain forklifts for sale. These trucks were not representative of the Army ATLAS II forklift.

9. Interested Sources: One response from a vendor was received in response to the Sources Sought Notice posted on SAM.gov and was determined unacceptable for this procurement. See the Market Research in Section 8 for the vendor inquiry details.

10. Other Facts: Procurement History:

Contract SPRDL1-24-C-0023
Award Date: 18 December 2023
Contractor: JLG Industries, Inc., CAGE Code: 1YHH8
Contract Value: \$1,212,024
Competitive Status: Sole-Source
Authority: FAR 6.302-1, Only One Responsible Source

Contract SPRDL1-19-D-0020
Award Date: 1 February 2019
Contractor: JLG Industries, Inc., CAGE Code: 1YHH8
Maximum Three-Year Value: \$7,572,265.16
Competitive Status: Sole-Source
Authority: FAR 6.302-1, Only One Responsible Source

Contract SPRDL1-11-C-0010
Award Date: 8 November 2010
Contractor: JLG Industries, Inc., CAGE Code: 1YHH8
Contract Value: \$1,250,435.48
Competitive Status: Sole-Source
Authority: FAR 6.302-1, Only One Responsible Source

11. Technical Certification: I certify that the supporting data under my cognizance which is included in the justification is accurate and complete to the best of my knowledge and belief.

Name: [REDACTED]
Title: Division Chief, Force Projection Technology
Email: [REDACTED]
Signature:

9/23/2024

X [REDACTED]

Signed by: [REDACTED]

12. Requirement Certification: I certify that the supporting data under my cognizance which is included in the justification is accurate and complete to the best of my knowledge and belief.

Name: [REDACTED]
Title: Sourcing Division Chief
Email: [REDACTED]
Signature:

9/20/2024

X [REDACTED]

Signed by: [REDACTED]

13. Fair and Reasonable Cost Determination: I hereby determine that the anticipated cost to the Government for this contract action will be fair and reasonable. This determination will be based on the results of a detailed cost and/or price analysis. The contractor will not be required to submit certified cost or pricing data as this item has been determined to be commercial.

Name: Nichols, Timothy A CIV DLA LAND AND MARITIME (USA)
Title: Contracting Officer, ZGBC
Email: timothy.nichols@dla.mil
Signature:

9/24/2024

X Timothy A. Nichols

Signed by: NICHOLS.TIMOTHY.A. [REDACTED]

14. Contracting Officer Certification: I certify that this justification is accurate and complete to the best of my knowledge and belief.

Name: Nichols, Timothy A CIV DLA LAND AND MARITIME (USA)

Title: Contracting Officer, ZGBC

Email: timothy.nichols@dla.mil

Signature:

9/24/2024

 Timothy A. Nichols

Signed by: NICHOLS.TIMOTHY.A. 

**APPROVAL OF JUSTIFICATION
FOR OTHER THAN FULL AND OPEN COMPETITION**

**Approval Authority for Acquisitions Greater than \$750K
but Less Than \$15M**

Based on the foregoing Justification, I hereby approve the procurement of the following:

- a. Noun: Diesel Engine
- b. NSN: 2815-01-577-1838
- c. Minimum Quantity: six each guaranteed (IDIQ LTC)
- d. Estimated Maximum Quantity: 156 each (Five-Year ordering period)
- e. PRON Number: EH4L0286EH
- f. Type of Contract: Five-Year IDIQ LTC, Firm-Fixed-Price
- g. Total Estimated Value: \$ [REDACTED]

This action will be awarded under other than full and open competition pursuant to the authority of 10 U.S.C. 3204(a)(1) and subject to the availability of funds. This approval is subject to the provision that the property described has otherwise been authorized for acquisition.

Signature:

X WIEBUSCH.JAMIE. [REDACTED] Digitally signed by
[REDACTED] WIEBUSCH.JAMIE. [REDACTED]
Date: 2024.10.15 12:53:24 -04'00'

Competition Advocate